Now the real interest rate associated with the loan goes *up* from 4 per cent to 6 per cent, which makes things worse. When things are bad, higher real interest rates make it worse. When the central bank correctly runs an inflation-targeting system, this positive feedback loop is defused, because a decline in forecasted inflation will induce the central bank to cut interest rates. [1]

Risk-averse bureaucrats in India often react to revelations of difficulty by enacting new regulations which restrict private persons more. The greater the extent to which a regulator was responsible for the difficulties, the greater is their virtue signalling. At a time when the system is stressed and risk capital is scarce, greater restrictions upon private persons further hamper risk-taking. This is another positive feedback loop.

India's journey in financial regulation from the late 1980s has a steady layering of reduced economic freedom after each crisis, because these crisis-response measures are seldom reversed. Policymakers should be cautious about hawkish measures that are implemented in a crisis for two reasons: first, to avoid positive feedback loops, and second, owing to the possibility that these 'tough' crisis responses will have adverse consequences for the economy over a sustained period.

Recessions uncover what auditors do not

> *Only when the tide goes out do you discover who's been swimming naked.*
>
> Warren Buffett

In a crisis, it does not rain, it pours. When times are difficult, some unexpected things break down. As an example, after the Lehman collapse in September 2008 and the Mumbai attacks in November 2008, we got the Satyam collapse in January 2009. [2]

This is not accidental. In every boom, there are some organizations which are over-exuberant, and are propelled into exceptional growth by the times and by dubious tactics. They juggle many balls and manage to keep up a